steady, low-cost investments and higher-risk, higher-reward opportunities.

This strategy involves allocating the bulk of your portfolio—typically 80-90 per cent—to a broadly diversified mix of funds that form the "core". The remaining 10-20 per cent forms the satellite investments—typically more tactical, often aligned with market trends and potentially volatile, but carrying the possibility of higher returns. The idea is that the core performs broadly in line with the market, while the satellite has the potential to outperform, providing a lift to overall returns without putting the entire portfolio at risk. This strategy offers a solid foundation for consistency while allowing targeted investments to capture market trends or beat benchmarks.

Designed for investors seeking both stability and flexibility, the core-satellite strategy helps maintain steady returns while leaving room to pursue growth opportunities. It is, therefore, important to choose the right fund category before selecting a fund. For instance, a mid-cap fund outperforming a large-cap fund does not automatically make it the better choice, just as a small-cap fund delivering 45 per cent returns in the past year is not suitable for every investor. Nor does such performance justify allocating a significant portion of your core portfolio to it.

First, select a fund category based on your investment horizon, goals and risk tolerance. If your time-frame is less than a year, consider liquid, ultra-short-term or short-duration funds. For a horizon of three to five years, conservative hybrid or balanced funds may be more appropriate. If you are investing for five to ten years, large-cap, flexi-cap, index and multi-cap funds, among others, can be considered. Satellite allocations, meanwhile, can include small-cap or thematic funds and other assets such as gold.

Once the broad category is selected, you can move on to choosing specific funds. While returns are an important indicator of performance, avoid relying solely on ranking tables and short-term gains. Assessing a fund purely on recent returns is the worst mistake you can make. This is where qualitative factors become important—particularly in understanding what drove a short-term spike. If strong performance resulted from taking on higher risk than disclosed, it should raise a red flag. Similarly, if a small-cap fund delivered exceptional returns due to heavy concentration in a single stock, it may be a matter of luck or timing rather than a deliberate strategy.

A more nuanced evaluation looks at rolling returns, which measure performance across multiple periods and market cycles. Even weaker funds can appear impressive during a bull run; the real test is how they perform in downturns. A fund that underperforms the market during corrections may not be well-positioned to handle downside risk.

THE RIGHT MIX

When zeroing in on a fund, evaluate its performance across different market cycles. In equity investing, a fund that protects capital effectively during market crashes often builds stronger long-term wealth, largely because it helps investors stay invested. While returns matter, successful investing ultimately depends on the right mix of returns, risk and investor behaviour over time. A fund is not inherently good simply because it exhibits low volatility; it is good if it delivers returns that are appropriate for the level of risk you are willing to tolerate.

Lastly, the fund manager matters, and so does the asset management company (AMC). While there is no need to idolise fund managers, it is important to know how long they have run the fund you have selected and how performance has evolved with changes in the management team. Most AMCs develop a distinct investment philosophy, often reflected in the performance of the schemes they offer.

Ideally, a stable fund adheres to its mandate, maintains a consistent risk profile and delivers predictable performance across market cycles. Remember, the best mutual fund is one you can hold through a crash—an underrated truth. ■

—Narayan Krishnamurthy

CRUCIAL ASKS

Questions to consider while identifying a mutual fund for yourself

- ***What is the goal?***
- ***What is the target amount?***
- ***What is the time horizon?***
- ***How flexible is the timeline?***



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